
Introduction to China's Financial System

LECTURE 11 BANKING SYSTEM IN CHINA

Contents

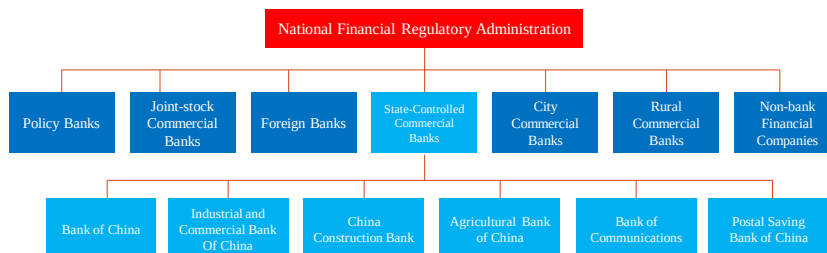
- **Current situation** of Chinese banking system
- **Key features** of current Chinese banking system
- **Reformation history** of Chinese banking system
- **International regulation** of banking system
- **Key challenges** for Chinese banking system

Current situation of China's banking system

Current structure of China's banking system

- Banking institutions:
 - Policy banks
 - State-owned commercial banks (big 6)
 - Joint-stock commercial banks
 - Private banks
 - City commercial banks
 - Rural area financial institutions
 - Foreign banks
- Banking regulators:
 - PBC
 - MOF
 - CBRC (later CBIRC, now NFRA)
 - SAFE
- Capital structure of the banks:
 - Fully state-owned
 - Partially state-owned
 - Private
 - Foreign

Chinese banking system



- The assets of the banking sector account for around 80% of the total assets of all financial institutions in China in 2019.
- 67% of the fixed-asset investment in China are funded by banking sector in 2019.
- The big six SOE banks are the major players in the Chinese financial market, with their assets accounting for about 57% of the total bank assets in China in 2023.

Source: CBRC, CIRC, Wind, CEIC database, Deloitte Research.

Banks in China



- **Policy banks:** China Development Bank (CDB), Agricultural Development Bank of China (ADBC), China Export-Import Bank (CEIB)
- **State-owned banks:** ICBC, CCB, BOC, CAB, BOCOM, PSBC
- **Joint stock banks:** China Merchants Bank, Guangdong Development Bank, Minsheng Bank, etc.
- **Regional banks and credit unions:** Bank of Shanghai, Bank of Nanjing, Ningbo Commercial Bank
- **Foreign banks:** HSBC, Citibank, Standard Chartered

资料来源：前瞻产业研究院

@前瞻经济学人APP

Key features of China's banking system

- **Biggest supplier of credit as opposed to capital markets**
- **Highly concentrated in big banks**
- **High level of state ownership and control**
 - The largest six banks are majority-owned by the central government.
 - Government can give credit guidance.
 - Top management are selected by the government and are effectively high-level government officials in practice.
 - Largely focus on traditional financial intermediation between savers and borrowers:
 - Domestic deposits are the largest funding source (80% of total liability).
 - Loans are the largest channel for financing the borrowers (60% of total asset).

Chinese banking industry in the world

- Chinese banking industry has made rapid progress and maintained leading role.
 - In 2024, in The Banker's list of the 1000 top banks in the world, 143 were Chinese banks.
 - Among the top ten banks ranked by tier one capital, Chinese banks took six places.

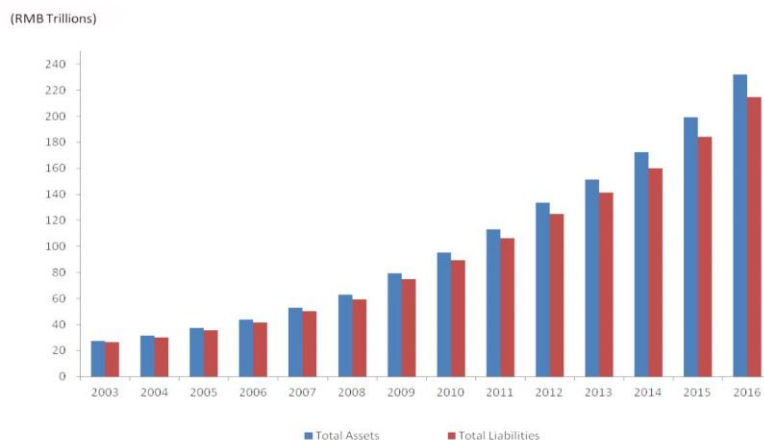
Top 10 banks in 2024 ranked by *The Banker* (in US\$ million)

Ranking	Bank	Country	Tier1 capital (US\$ million)	Size Assets (US\$ million)	Pretax profits (US\$ million)
1	ICBC	China	5233278	6260095	59099
2	China Construction Bank	China	440403	5367623	54535
3	Agricultural Bank of China	China	402654	5584452	43056
4	Bank of China	China	359982	4542320	41402
5	JPMorgan Chase	US	277306	3875393	61589
6	Bank of America	US	223323	3180151	28342
7	Citigroup	US	172504	2411834	12911
8	Wells Fargo	US	159823	1932474	21635
9	Bank of Communications	China	151496	1969254	13963
10	Merchants Bank	China	148145	1544605	24736

Data source: *The Banker* 2024

Total Size of China's Banking System

- According to the data from PBoC in June 2024, by the end of Q1 of 2024, the total assets of China's banking institutions had reached 429.58 trillion yuan, and the total liabilities were 394.49 trillion yuan.



Banking institutions dominate China's financial system

Structural changes in the total assets of China's financial system in the 2003-2016 period (in RMB bn)

Year	Banking institution total assets	Non-bank financial institutions total assets	Percentage of total assets owned by banking institutions
2003	27,658	910	97%
2004	31,599	873	97%
2005	37,470	1,016	97%
2006	43,950	1,059	98%
2007	53,116	972	98%
2008	63,152	1,180	98%
2009	79,515	1,550	98%
2010	95,305	2,090	98%
2011	113,287	2,607	98%
2012	133,622	3,230	98%
2013	151,355	3,968	97%
2014	172,336	5,012	97%
2015	199,345	6,488	97%
2016	232,253	7,931	97%

Banking institutions dominate China's financial system

Structure of China's AFRE in the 2003-2017 period (in RMB bn)

年份 Year	社会融资规模 Social financing	人民币贷款及外币贷款、银行承兑汇票占比 Currency loans and bank acceptance bill	委托贷款占比 Entrust loans	信托贷款占比 Trust loans	企业债券占比 Corporate bonds	非金融企业境内股票融资占比 Non-financial enterprises' domestic stock financing	其他占比 others
2003	3,411	90%	2%	0%	2%	2%	2%
2004	2,863	87%	11%	0%	2%	2%	2%
2005	3,001	84%	7%	0%	7%	1%	3%
2006	4,270	81%	6%	2%	5%	4%	2%
2007	5,966	75%	6%	3%	4%	7%	2%
2008	6,980	78%	6%	5%	8%	5%	2%
2009	13,910	78%	5%	3%	9%	2%	2%
2010	14,019	64%	6%	3%	8%	4%	2%
2011	12,829	66%	10%	2%	11%	3%	0%
2012	15,763	60%	8%	8%	14%	2%	0%
2013	17,317	56%	15%	11%	10%	1%	0%
2014	16,457	64%	15%	3%	15%	3%	0%
2015	15,409	74%	10%	0%	19%	5%	0%
2016	17,802	74%	12%	5%	17%	7%	0%
2017	19,443	76%	4%	12%	2%	5%	0%

Note: "AFRE, aggregate financing to the real economy, "社会融资规模"

High concentration in big banks

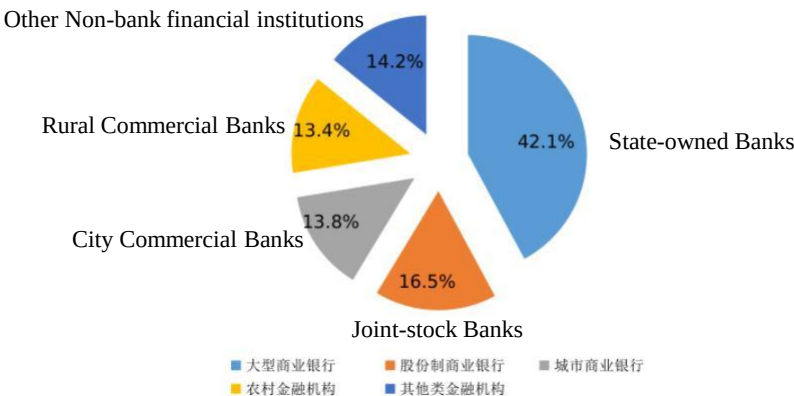
Structure of total assets of China's banking institutionsduring the 2004-2017 period (in RMB bn)

年份 year	银行业金融机构资产 Assets of banking institution	大型商业银行资产 Assets of big commercial banks	大型商业银行资产占比 Percentage of assets owned by big commercial banks
2004	31,599	16,937	53.60%
2005	37,470	19,672	52.50%
2006	43,950	22,546	51.30%
2007	52,598	27,982	53.20%
2008	62,391	31,820	51.00%
2009	78,769	40,094	50.90%
2010	94,259	45,904	48.70%
2011	111,518	51,968	46.60%
2012	131,266	57,888	44.10%
2013	148,047	62,624	42.30%
2014	168,161	67,264	40.00%
2015	194,175	73,592	37.90%
2016	226,256	81,452	36.00%
2017	245,778	87,251	35.50%

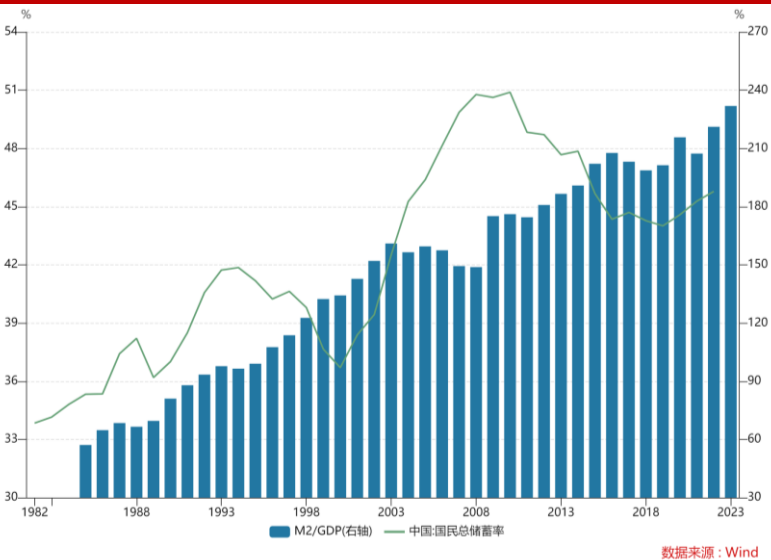
State dominance in the banking industry

Asset distribution of Chinese banking industry in August 2024

2024 年 8 月银行业金融机构资产份额图



Financial deepening



Underdevelopment of Direct Financing

- The banking sector's dominance of the financial system has limited development and growth of China's domestic stock and bond markets. **China's stock market accounted for only 3% of China's total outstanding credit stock at the end of 2023.** This contrasts with the United States, where stock holdings account for more than 50% of outstanding corporate liabilities.
- The reliance on bank loans and underdevelopment of capital markets tends to distort credit allocation in favor of large companies and has contributed to China's high corporate debt levels. It disadvantages smaller, less politically connected firms.

China's Banking Institutions

Policy banks

- Wholly State-Owned & each with a distinct mission. Established in an effort to separate policy-related lending from commercial lending.
 - Agricultural Development Bank of China (ADBC)
 - To support the development of agriculture and rural areas in China.
 - China Export-Import Bank (CEIB)
 - Provide financial services to promote Chinese exports (particularly of high-tech and new-tech products) and facilitate the import of technologically advanced machinery and equipment.
 - China Development Bank (CDB)
 - China's largest foreign investment and finance cooperative bank. It mainly provides services for important long-term national economic initiatives through financial services such as medium- to long-term credit and investment.
- Funding and governance
 - Funded by capital contribution from the central government and issuing policy financial bonds.
 - All three banks have a board of directors and senior officers, appointed by the central government.
 - Rely on the central government's directives in establishing their operational priorities.

State-owned commercial banks

- Bank of China, Agricultural Bank of China, China Construction Bank, Industrial and Commercial Bank of China, Bank of Communications, Postal Saving Bank of China.
- The largest six banks are majority-owned by the central government and focus on traditional financial intermediation between savers and borrowers.
- All are highly profitable in recent years with low loan default ratios.
- The big banks strive to balance the goal of earning profits and expanding operations with the overall economic policy objectives of the State Council, PBC, and other government agencies.

Joint-Stock Commercial Banks

- The most common form for private capital to infiltrate the banking sector is through joint-stock banks.
- Joint-stock banks are held by corporations, which could include non-State entities.
- Solely privately owned banks are rare.
- They are not completely privately owned, but the government's stakes in them are significantly less than the big six.
 - China Minsheng Bank is the first commercial bank in China that was founded on private capital.
 - The banks included are the Shanghai Pudong Development Bank (SPD), China Citic Bank (CITIC), China Everbright Bank (CEB), China Guangfa Bank (CGB), Guangdong Development Bank (CMB), Huaxia Bank (HXB), China Merchants Bank (CMB), China Minsheng Bank (CMBC), Ping An Bank (PAB) and China Zheshang Bank (CZB).

Shareholder status of commercial banks

Shareholder status of China's state-owned commercial banks and China's joint-stock commercial banks

Bank	The largest shareholder	The largest shareholder proportion(%)	Top 10 shareholders proportion (%)
ICBC	Central Hui Jin Investment Co.,Ltd.	34.71	96.61
ABC	Central Hui Jin Investment Co., Ltd.	40.03	94.83
BOC	Central Hui Jin Investment Co.,Ltd.	64.02	96.08
CCB	Central Hui Jin Investment Co.,Ltd.	57.11	97.44
BCM	The Ministry of Finance	26.53	78.76
CMBC	Anbang Life Insurance co.,Ltd.	6.49	57.26
CITIC	China CITIC Co., Ltd.	65.37	97.83
CEB	China Everbright Group	25.43	92.25
CMB	China Merchants Steamship Co.,Ltd.	18.02	69.25
SPD	Shanghai International Group Co.,Ltd.	21.57	76.06
HXB	Shougang Group Co.,Ltd.	20.28	74.7
PAB	Ping An Group	49.56	66.36

Private Banks

- CBRC started a pilot program in 2014 to allow private capital to found banks.
 - Targeted clientele: Micro-Small enterprises, rural area development, and communities.
 - The main objectives are to try out a new scheme in which banks are responsible for their own risks.
 - Different business models:
 - Small deposits, small loans: e.g. MyBank Ali Loan by Alibaba.
 - Large deposits, small loans: e.g. WeBank by Tencent. Only serves corporations.
 - Designated geographic area.
 - Most are internet banks.
 - Banks such as:
 - Shanghai HuaRui Bank
 - Wenzhou Minshang Bank
 - Tianjin Jincheng Bank
 - Chongqing Fumin Bank
 - Sichuan Xinwang Bank
 - Wuhan Zhongbang Bank

Other domestic banks

- City commercial banks:
 - Wholly-owned by local government but transformed into joint-stock banks since 2000s where the local government being the biggest shareholder.
 - Often chosen to handle local government related accounts.
 - Better able to assess local companies' credit worthiness.
 - The establishment of branches of city commercial banks in other cities is restricted to a certain extent, and the number of branches is much less than that of joint-stock commercial banks.
- Rural area financial institutions:
 - Including rural credit cooperatives, village and township banks (TVB), rural commercial banks, rural cooperative banks.
 - Generally only provide services to rural population.
 - Private capital accounts for 90 % of the total capital in rural co-operatives and 70 % of the capital in rural banks.

Foreign Banks in China

- Foreign banks are focusing on foreign companies as their main costumers, so the market share in China's banking system keeps at very low level.

Assets of foreign banks operating in China in the 2003-2016 period (in RMB billions)

Year	Banks with foreign capital: Assets	Banking institutions: Assets	Percentage of banks with foreign capital
2007	1,253	53,116	2.36%
2008	1,345	63,152	2.13%
2009	1,349	79,515	1.70%
2010	1,742	95,305	1.83%
2011	2,154	113,287	1.90%
2012	2,380	133,622	1.78%
2013	2,563	151,355	1.69%
2014	2,792	172,336	1.62%
2015	2,681	199,345	1.34%
2016	2,929	232,253	1.26%

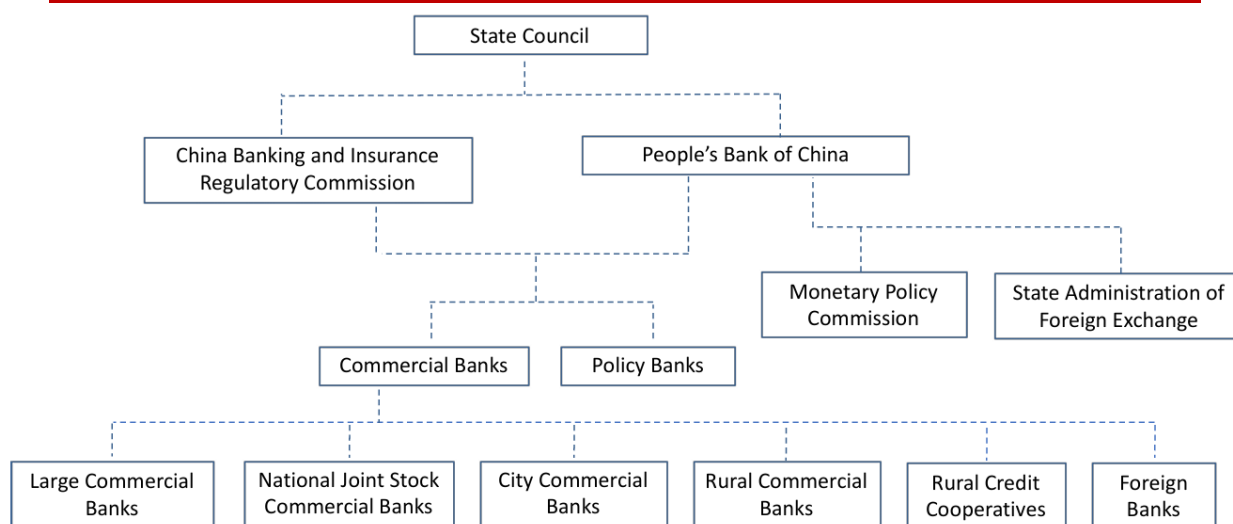
Foreign Banks in China

- Foreign banks that have carried out business in China:
 - Banks from Asia
 - HSBC汇丰, Standard Chartered Bank渣打, The Bank of East Asia东亚, Hang Seng Bank恒生
 - DBS Bank星展, OCBC Bank华侨
 - Banks from Europe and the United States
 - Citibank花旗银行
 - Deutsche Bank德意志银行, BNP Paribas法国巴黎银行, UBS瑞士银行
 - Banks from Other Regions
 - Australia and New Zealand Banking Group Limited (ANZ)澳新银行
 - Scotiabank加拿大丰业银行

China's Banking Regulators

- Four key entities report to China's ruling State Council.
 - China's central bank, the People's Bank of China (PBOC).
 - China Banking Regulatory Commission (CBRC), now “National Financial Regulatory Administration (NFRA)”.
 - Ministry of Finance (MOF).
 - State Administration of Foreign Exchange (SAFE).

Oversight Structure of China's Banking System



Source: Created by Commission staff.

Policy and Regulatory Oversight

- The two main regulatory authorities responsible for overseeing China's banking system are the People's Bank of China (**PBoC**) and the China Banking and Insurance Regulatory Commission (**CBIRC**).
 - The PBoC is China's central bank and is tasked with setting monetary policy and maintaining stability in the financial system. The PBOC is subordinate to the State Council—China's highest administrative authority—and must submit "decisions about money supply, interest rates, exchange rates and other specified important matters" to the State Council for approval before implementing them.
 - The CBIRC is the successor institution to the China Banking Regulatory Commission (CBRC), which existed from 2003 to 2018 and then merged with China's insurance regulator in March 2018. The CBRC was originally created to take over supervisory and regulatory functions of the PBOC for banks and some nonbank financial institutions in China. However, following the March 2018 reorganization, the PBOC largely regained control of regulatory policy development as the CBIRC's role was narrowed to that of a supervisory institution to oversee banks and insurance companies.
- In March 2023, the National Financial Regulatory Administration (**NFRA**) was established on the basis of the China Banking and Insurance Regulatory Commission (CBIRC).

People's Bank of China

- History:
 - Before 1978, the PBOC functioned as both the central bank of China and as the only commercial bank. Administratively under the MOF.
 - 1980s, four state-owned banks were established through parts of PBOC to be commercial banks. The PBOC had a more focused goal of being the central bank.
- Responsibility (more on this later):
 - Setting monetary policy (such as setting benchmark interest rates).
 - Ensuring financial stability.
 - Managing the payment system.
 - Regulating inter-bank lending and bond markets, gold market, foreign exchange markets.

China Banking Regulatory Commission

- CBRC was created in charge of the regulatory oversight of China's banks in 2003.
- Main Functions:
 - Authorize the establishment and business scope of banks in China.
 - Formulate and enforce banking regulations.
 - Audit and supervise all banks.
 - Compile and publish information on China's banking sector.
- In January 2015, the CBRC carried out the reform of the regulatory framework, set up the Prudential Regulation Bureau, led the non-field supervision work, and unified the rules and regulations of the Prudential Management of the banking industry.
- In April, 2018, the CBRC became a part of the China Banking and Insurance Regulatory Commission (CBIRC).
- In March 2023, the National Financial Regulatory Administration (NFRA) was established on the basis of the China Banking and Insurance Regulatory Commission.

Ministry of Finance

- MOF is the national executive agency of China's central government and was once the sole authority for China's financial sector.
- Main functions:
 - Administers macroeconomic policies.
 - Prepares and administers the national budget.
 - Handles fiscal policy, economic regulations, and government expenditures for the state.
- Although the direct management of financial institutions by the MOF has been reduced, it continues to hold some authority either through equity holdings or by having a representative on the banks' governing boards.
 - MOF is the largest shareholder of Central Huijin Investment Ltd. (中央汇金), and Central Huijin is the largest shareholder of Big Four state-owned commercial banks.

State Administration of Foreign Exchange

- Administratively under the State Council and the PBOC, The foreign exchange management structure has been gradually improved over the past years.
- Main Functions:
 - Manage China's foreign exchange reserves.
 - Regulating and monitoring foreign exchange transactions, as well as balance of payments statistics.
 - Sometimes acts as a bank providing credit to companies seeking to make overseas investments.
 - Regulates QFIIs - authorizes quotas.
- At the operational level of a commercial bank, the SAFE is responsible for:
 - The supervision of the national foreign exchange market.
 - The settlement and sale of foreign exchange.
 - Cultivating and developing the foreign exchange market and punishing acts that are against foreign exchange regulations.

Development history of China's banking system

Banking system of the new China

China's banking system from 1949 to 1978 underwent significant transformations as it adapted to the country's socialist economic model.

Banking system of the new China

- 1. Early Establishment (1949-1952):
- After the establishment of the People's Republic of China in 1949, the banking system was quickly reorganized under state control.
- The People's Bank of China (PBOC) was established in 1948 (before the founding of the PRC) and became the central and only commercial bank of the country, handling both central banking functions and commercial banking activities.
 - PBOC was responsible for issuing currency, managing deposits, loans, and payments, and overseeing the country's financial system.
 - Nationalization of Private Banks: Between 1949 and 1952, all private and foreign-owned banks were nationalized or merged into the PBOC.
- The focus during this period was on stabilizing the economy after years of war and inflation.

Banking system of the new China

- 2. Centralized Banking System (1953-1978):
- ✓ *Tips: New China launched its first Five-Year Plan in 1953. This plan marked the beginning of China's transition to a socialist, centrally planned economy, modeled on the Soviet Union's economic system.*
- Starting in 1953, China's banking system reflected this centralization. The PBOC took on a dominant role as the sole banking institution in China. The banking system became an arm of the government, focused primarily on executing state policies and serving the needs of state-owned enterprises (SOEs).
 - **Monobank System:** The PBOC combined the functions of a central bank and a commercial bank. It managed all forms of savings, loans, and payment settlements for individuals and enterprises.
 - **Allocation of Credit:** Instead of profit motives, the allocation of credit was based on the state's economic planning goals. The PBOC would provide funds to key sectors according to the state's Five-Year Plans.
 - **No Financial Markets:** There was no stock market or bond market during this period. Capital was allocated through the banking system, PBOC, and the focus was on fulfilling the state's production targets.

Specialized Banks

- Although the PBOC was the dominant institution, some specialized banks were created to manage specific areas of the economy:
 - **Bank of China (BOC):** This bank, established earlier in 1912, was redefined to handle China's international trade and foreign exchange transactions.
 - **Agricultural Bank of China (ABC):** Initially established in the 1950s but later abolished and re-established several times. It was tasked with managing rural financial activities, especially agricultural credit.
 - **China Construction Bank (CCB):** Created in 1954, it was focused on providing financial support for state infrastructure projects, including industrial and housing developments.

Banking system of the new China

- From 1952, China's financial system began to be unified.
 - The Bank of Communications was transferred to the Ministry of Finance.
 - The Agricultural Cooperative Bank of China was incorporated into the People's Bank of China.
 - The Bank of China and the Foreign Affairs Bureau of the PBoC operated under the same office.
 - The private banks were combined into a unified "public-private joint bank" in 1952 and incorporated into the People's Bank of China system in 1956.
 - In 1954, the People's Construction Bank of China (CCB) was established and then abolished in 1958, then was restored in 1962, and then incorporated into the Ministry of Finance again in 1968.
 - In 1955, the Agricultural Bank of China was established and then abolished in 1957, and was restored in 1963, and then abolished again in 1965 (and incorporated into the PBoC).

Banking system of the new China

- 3. The Cultural Revolution and Its Impact (1966-1976):
- During the Cultural Revolution, the banking system and overall economic management were heavily disrupted. The PBOC and other financial institutions faced political interference. Many trained financial professionals were dismissed, and economic planning took a backseat to ideological campaigns.
 - The financial system was decentralized temporarily, as regional banks and institutions gained more control.
 - The banking system's role was severely weakened as the focus shifted toward political struggles and the self-reliance movement, which advocated for decentralized local production.
- In 1969, the head office of the People's Bank of China was integrated into the Ministry of Finance, retaining the brand of "People's Bank of China" externally.
- During the nine years from 1969 to 1978, China was in fact without a central bank.
- After the end of the Cultural Revolution in 1976, China began shifting toward economic reforms.

Banking system of the new China

- 4. Transition toward Economic Reforms (1976-1978):
- After the end of the Cultural Revolution in 1976, China began shifting toward economic reforms. Although significant reforms to the banking system did not take place until the 1980s, the seeds for change were planted during the late 1970s under the leadership of Deng Xiaoping.

Banking system of the new China

Key Characteristics of China's Banking System (1949-1978):

- ✓ **State Monopoly:** The state controlled all financial institutions, with the PBOC as the central institution.
- ✓ **Monobank System:** The People's Bank of China played a role as not only central bank, but also commercial bank and finance department of the government.
- ✓ **Centralized Planning:** The banking system was a tool to allocate resources according to state plans rather than market forces.
- ✓ **Limited Competition:** There was no competition or profit motive in the financial system; banks served state enterprises and cooperatives.
- ✓ **No Market Mechanisms:** Financial markets did not exist, and private capital was absent.

1978, transition toward economic reforms

It was only in 1978 that the People's Bank of China was separated from the Ministry of Finance. China began to have a relatively independent banking system again.

Reforming Chinese banking system (1)

- Phase One (1978-1984) Initiation of Reforms
- In 1978, the People's Bank of China (PBoC) was designated as a central bank and became independent of the Ministry of Finance, resulting in more effective conduct of monetary policy.
- A two-tier banking system was created in which the PBoC emerged as the central bank, while the following banks emerged as the specialized banks
 - the Bank of China (BOC)
 - the China Construction Bank (CCB)
 - the Agricultural Bank of China (ABC)
 - the Industrial and Commercial Bank of China (ICBC)

Reforming Chinese banking system (2)

- Phase Two (1984-1994) Commercial Banking Reforms
- In 1984, Industrial and Commercial Bank of China (ICBC) was separated from the PBOC and became a commercial bank.
- On July 24, 1986, as a pilot of financial reform, The State Council approved the establishment of the Bank of Communications (BCM), with its headquarters in Shanghai. On April 1, 1987, the re-established BCM officially opened for business, becoming China's first national joint-stock commercial bank.
- ✓ The significance of the establishment of BCM is not to add another bank, but to change the ecology of existing banks. After that, the banks broke the professional division of labor and started to competing for business.

Banking system after 1987

- Since 1987, the government has made several big moves in succession.
 - Banking licenses were issued to the governments of Shenzhen, Guangdong, Fujian and Shanghai.
 - Banking licenses were issued to state-owned Group.
 - Some private joint-stock commercial banks were successively established.
- During these years, many “firsts” were born in China's banking industry.
 - On April 8, 1987, China Merchants Bank was established in Shenzhen, becoming the first bank established by a state-owned enterprise.
 - On December 22, 1987, six credit cooperatives in Shenzhen were jointly restructured to establish Shenzhen Development Bank, which became the first bank to be listed in China. (merged with Ping An Bank in 2012)
 - On October 18, 1992, Huaxia Bank, funded and established by Shougang, was established in Beijing, becoming the first bank established by industrial state-owned enterprises.
 - On January 12, 1996, China Minsheng Bank was formally established in Beijing, becoming China's first joint-stock commercial bank funded and established mainly by non-state-owned enterprises.

Reforming Chinese banking system (3)

- Phase Three (1994-1998) Market-Oriented Reforms
- In 1994, Three policy banks were set up to undertake the policy driven financing earlier assigned to specialized banks:
 - China Development Bank (CDB) focused on long-term development projects.
 - Export-Import Bank of China (Exim Bank) handled export credit.
 - Agricultural Development Bank of China (ADBC) supported rural development.
- In 1995, “Central Bank Law” was implemented.
 - The PBOC was given full responsibility as the central bank, separating monetary policy from the state banking system’s commercial functions.
 - Financial reforms to make monetary policy more market-driven.
 - Introduction of interbank markets.

Reforming Chinese banking system (4)

- Phase Four (1998-2007) WTO Accession and Open for Foreign Banks
- After joining the World Trade Organization (WTO) in 2001, China committed to further opening its banking sector to foreign competition.
- Reform initiatives (as part of its WTO accession):
 - 13 cities have been opened for foreign banks to conduct “renminbi” business.
 - 100 eligible foreign banks were permitted to conduct “renminbi” business.
 - 55 foreign banks were allowed to provide “renminbi” services to the Chinese enterprises.
- In 2006, China removed all geographic and (most) business restrictions for foreign banks. Foreign Banks were allowed to provide 12 categories of services in China.
- The permitted equity holding in Chinese financial institutions by a single foreign investor has been raised from 15 to 20%, while the maximum foreign equity holding remains at 25%.

Reforming Chinese banking system (4)

- Phase Four (1998-2007) State-Owned Bank Reforms
- The China Banking Regulatory Commission (CBRC), formed in 2003, became more active in regulating financial institutions to prevent risks from excessive lending.
- Major state-owned banks, including ICBC, BOC, and CCB, underwent restructuring and were partly commercialized. This included recapitalization and listing on stock exchanges, transforming them into joint-stock companies.
- Recapitalization of state banks
 - 4 asset management companies set up in year 2000 to take over US\$1,600 billion of NPLs
 - US\$45 billion capital injection in 2004 for BOC and CCB
 - US\$15 billion capital injection in 2005 for ICBC
 - US\$1108 billion NPLs disposed up to March 2006, cash recovery rate 20.8%
 - US\$19 billion capital injection in 2008 for ABC
- CCB listed in Hong Kong in 2005, BOC and ICBC in 2006, ABC in 2010

Reforming Chinese banking system (5)

- Phase Five (2008-2012) Global Financial Crisis and Regulation
- China initiated large stimulus packages to maintain growth, but this led to increased credit expansion, especially through state-owned banks. Concerns about the rapid rise in bad debt and shadow banking increased during this period.
 - 2008: Launch of the ¥4 trillion stimulus package and the Financial Stability Bureau of PBoC.
 - 2009-2011: Increase in the reserve requirement ratio (RRR) to control credit expansion.
 - 2010: Introduction of property market tightening measures, including limits on mortgage lending.
 - 2011: Implementation of stricter regulations for shadow banking and wealth management products.
 - 2011: Bank stress tests conducted by the CBRC to assess banks' resilience.
 - 2011-2012: Amendments to the Commercial Bank Law and adoption of Basel III standards.

Reforming Chinese banking system (6)

- Phase Six (2013-2016) Liberalization and Shadow Banking
- Interest Rate Liberalization: By 2015, the PBOC had fully liberalized interest rates, allowing banks to set their own deposit and lending rates, signaling a shift toward more market-based pricing in the banking sector.
- Expansion of Shadow Banking: The growth of shadow banking, or non-bank financial intermediation, became a significant issue, with concerns over financial stability. The government introduced regulatory reforms to rein in shadow banking and improve oversight of non-bank financial institutions.
 - 2013: PBOC removed the floor on lending rates, and the Shanghai Free Trade Zone (FTZ) was launched.
 - 2014: CBRC issued stricter regulations on wealth management products and off-balance-sheet lending.
 - 2015: Completion of interest rate liberalization, new rules for shadow banking and P2P lending; stock market crash led to regulatory interventions.
 - 2016: RMB inclusion in the IMF's SDR basket, further regulations on capital outflows and shadow banking, and tighter P2P lending rules.

Shadow banking

- Shadow banking refers to various financial intermediary businesses outside the regular banking system.
- After the 2008 Global Financial Crisis, traditional banks began partnering with Non-Bank Financial Institutions (NBFIs) to extend shadow loans.
 - Primarily by channeling loans through Non-Bank Financial Institutions (NBFIs)—establishing contractual arrangements that convert the loans into investments in NBFI financial products backed by loans—in order to move the loans and risk off the bank's own balance sheet.

Shadow banking businesses in China

- Off-balance-sheet Businesses of Banks
 - Bank Wealth Management Business
- Trust Business
 - Bank-Trust Cooperation
 - Trust Loans
- Securities Asset Management Business
 - Bank-Securities Cooperation
 - Securities Company Asset Management Channel Business
- Fund Subsidiary Asset Management Business
 - Fund Subsidiary Channel Business
 - Non-standard Debt Investment Business
- Internet Finance Business
 - Peer-to-Peer Lending (P2P)
 - Internet Money Funds

Reforming Chinese banking system (7)

- Phase Seven (2017-2023) Financial Risk Management and New Regulation
- Deleveraging Campaign (2017): The government began a deleveraging campaign to reduce financial risks, focusing on reducing corporate and local government debt. Crackdowns on shadow banking intensified, with stricter rules on wealth management products (WMPs) and non-bank lending.
- Financial Stability and Risk Control: The China Banking and Insurance Regulatory Commission (CBIRC) was established in 2018 by merging the CBRC and CIRC. Efforts were made to modernize banking regulation, improve financial stability, and reduce risks associated with excessive borrowing, especially in real estate.
- Digital Banking and Fintech Expansion: China became a global leader in digital banking and financial technology (fintech) with the rise of companies like Ant Group (Alibaba's financial arm) and Tencent's WeChat Pay. The government began regulating fintech more strictly, including halting Ant Group's planned IPO in 2020.
- Green Finance: China has also made efforts to integrate green finance into its banking system, encouraging banks to support projects that align with environmental goals and sustainable development initiatives.

Summary of Key Phases

- Initiation of Reforms (1978-1992): Market reforms, separation of commercial functions from the PBOC.
 - Market-Oriented Reforms (1993-2001): Financial modernization, policy banks, and early steps toward interest rate liberalization.
 - WTO Accession (2001-2007): Opening the banking sector to foreign competition and reforming state-owned banks.
 - Global Financial Crisis (2008-2012): Stimulus packages, credit expansion, and regulatory strengthening.
 - Liberalization and Shadow Banking (2013-2016): Interest rate liberalization, shadow banking regulation.
 - Risk Management and Fintech (2017-2023): Financial risk control, digital banking, and green finance.
-

REGULATION OF BANKS

The internationalization & banking supervision

- The financial internationalization since the 1980s has made the international spread of financial risks threatening the financial stability of all countries.
- In this regard, the first push is for international supervision of multinational banks.

The Basel Accord

- In 1975, the "Basel Committee on Banking Supervision" was established by the central bank governors of the G-10 countries.
- In 1987, the Basel Proposals were adopted.
- In 1988, on the basis of the "Proposal", the "Agreement on the Harmonization of Capital calculation and capital Standards for international Banks" was adopted, known as the "Basel Accord".
- ✓ The Basel Accord bank capital standards are the most successful standard. Not only will the capital of international banks be subject to the standards, but the monetary authorities within countries will also require banks to follow them.

The key elements of the Basel Accord

- **Capital Composition:**

- Bank capital is divided into core capital and subsidiary capital:
 - Core Capital (Tier 1): Includes equity and public reserves, which must account for at least 50% of the total capital.
 - Subsidiary Capital (Tier 2): Includes undisclosed reserves, asset revaluation reserves, general reserves, or reserves for bad debts.

- **Risk Weighting Calculation:**

- Risk measures are established for various assets on-balance sheet and off-balance sheet.
- Capital requirements are linked to risk-weighted assets to determine the appropriate capital size.

- **A Target Standard Ratio:**

- By the end of 1992, the required standard ratio of capital to risk-weighted assets is 8%, of which Core capital (Tier 1) must be at least 4%.

Basel I,II and III

- Basel I was developed and published by the Basel Banking Regulatory Committee in 1988.
- Since 1999, the Basel Committee has been revising Basel I and implementing Basel II in some countries by the end of 2007.
- On December 16, 2010, the Basel Committee issued Basel III,
 - Basel III established a new model of financial supervision combining micro-prudential and macroprudential, and raised the capital supervision requirements of commercial banks.

China's regulation system on banks

- The banking industry is mainly regulated by the China Banking Regulatory Commission (CBRC) and the People's Bank of China.
 - Before April 2003, the People's Bank of China was the main regulator of the domestic banking industry.
 - In April 2003, the China Banking Regulatory Commission (CBRC) was formally established as the main regulator of the domestic banking industry.
 - In March 2018, the China Banking and Insurance Regulatory Commission (CBIRC) was established to perform the functions of banking supervision previously performed by the CBRC.
 - In March 2023, the National Financial Regulatory Administration (NFRA) was established on the basis of the China Banking and Insurance Regulatory Commission.

China's regulation system on banks

- In addition to the CBIRC and the People's Bank of China, commercial banks in China are subject to the supervision and regulation of other regulatory authorities, including but not limited to
 - the Ministry of Finance
 - the State-owned Assets Supervision and Administration Commission
 - the State Administration of Foreign Exchange
 - the State Administration of Taxation
 - the State Audit Office
 - the State Administration for Industry and Commerce
 - the China Securities Regulatory Commission
- The laws and regulations applicable to the domestic banking industry mainly include
 - the Law of the People's Bank of China
 - the Law on Commercial Banks
 - the Law on Banking Supervision and Administration, etc.

Regulatory implementation in China

Micro- and Macro-prudential policy 微观和宏观审慎监管

- Micro-prudential policy adjusts capital based on individual institutions' risks. Micro-prudential supervision is to reduce the probability and limit the impact of the failure of individual financial institutions.
- Macro-prudential policy adjusts overall levels of capital based on the financial cycle and systemic relevance to guard against systemic risk. Macro-prudential regulation aims to mitigate risk to the financial system as a whole (or "systemic risk").
 - After the 2007–2008 financial crisis, there has been a growing consensus among policymakers and economic researchers about the need to re-orient the regulatory framework towards a macro-prudential perspective.

Micro-prudential Regulation 微观审慎监管

- Stage I: from 1978 to 1992, by administrative regulation and management of credit scale.
 - Since January 1984, the PBC solely functioned as a central bank. Credit funds management was implemented.
 - Credit funds at each professional bank had to be included in the national comprehensive credit plan.
 - It was a planning phase, with the PBC in charge of balancing, appraising, and rectifying the credit funds.
- Stage II: from 1992 to 2006, with the establishment of the CSRC, CIRC, and CBRC.
 - In the early phase, the management focused on asset-liability ratio management and loan-deposit ratio.
 - Since 2000, the management shifted into three-risk management: credit risk, market risk, and operation risk.
 - In 2004, with the implementation of the Basel New Capital Agreement, the idea of capital management was introduced into commercial bank management.
- Stage III: after the subprime crisis in 2007 and with the implementation of Basel III in 2010.
 - CBRC formed a new framework "Chinese Basel III supervision", which used "dynamic capital, dynamic provision, leverage rate, and liquidity" as its four new regulatory tools.
 - The first-tier capital adequacy ratio was raised from 4% to 6%, with the capital adequacy ratio maintained at 8%.
 - CBRC extracted 2.5% retained capital and set a 1% additional capital requirement for systematically critical banks; introduced a dynamic provision rate to control management risk, and introduced a leverage rate as a regulatory index, of no less than 4%; introduced a liquidity coverage rate and gross stable finance ratio.
- Through the three stages, the micro-prudential supervision framework was gradually built.

Macro-prudential Regulation 宏观审慎监管

- In 2010, the PBC implemented a macro-prudential regulation strategy.
- In 2011, a mechanism for the dynamic adjustment of differential reserves and consensus loan management was established to reduce systematic financial risk.
- In 2016, the mechanism was updated to the macro-prudential assessment system (MPA), which is an important component of the macro-prudential regulatory framework.
 - **The MPA assesses seven aspects of the banking industry and financial institutions, including capital and leverage, balance, liquidity, price fixing, quality of assets, risk of cross-border finance, implementation of credit policy.**
 - The aim is to enhance self-regulation and self-restraint, which helps with the prudent operation of financial institutions.
- The MPA has been gradually improved:
 - In 2017, PBC included underlying assets of wealth management product in MPA to control shadow banking activities of commercial banks.
 - In 2018, the MPA included inter-bank deposit in the evaluation of inter-bank liability to encourage financial institutions to enhance liquidity management, lower inter-bank business, and use stable funding sources to develop business.
- Since 2017, with the establishment of the two-pillar policy, i.e., macro-prudential policy and monetary policy, **the stability of monetary value and financial stability are better integrated.**
 - Monetary policy is to exercise macro control over monetary value stability and economic growth.
 - Macro-prudential policy focuses on the stability of the financial system itself and the control of systematic risk.

Summary: Principles of financial supervision

- Management according to law;
- Reasonable and moderate competition;
- Combining self-restraint and external coercion;
- Combining security and stability with economic efficiency;
- The contents and means of financial regulation adjust in a timely manner.

SEPARATE AND MIXED OPERATIONS

Separate and mixed operations

- Based on the work performed by the banks, the financial industry is divided into two major segments
 - **Commercial bank:** is a bank that provides services like accepting deposits, lending money, payment on standing order and many more. A commercial bank earn interest on loans provided to the customers.
 - **Investment banks:** is a financial institution that offers services like underwriting of securities, brokerage services and so on. An investment bank acts as an intermediary between buyers and sellers of stock and bond, that help clients in raising capital. An investment bank earns underwriting commission.
- Separate operations: separate the commercial bank and investment bank.
- Mixed operations: allow commercial banks to operate services of investment bank, and vice versa.

Separate and mixed operations

- Before the great crisis in the 1930s, most commercial banks in various countries operated a variety of businesses and were all-purpose and comprehensive banks.
- After the financial crisis from 1929 to 1933, many Western economists blamed the comprehensive business operation of banks, especially the operation of long-term loans and securities business, and began to advocate the separation of commercial banks from securities business.
- However, Germany, Austria, Switzerland and the Nordic countries continue to implement mixed operation, commercial banks can engage in deposits, loans and securities business of various maturities.

Shifts in the United States and Japan

- The passage of the Financial Services Modernization Act in 1999 in the United States meant the abolition of the Glass-Steagall Act, which had separated the businesses, and also marked the final end of the separated businesses system in Western countries.
- In 1998, Japan promulgated the Financial System Reform Package Law, which is known as the "Big Bang" financial plan and allow mixed operations in financial industry.
- Today, there are two basic forms of mixed operations in developed economies.
 - a bank carries out credit intermediation, investment, trust and insurance business simultaneously.
 - a financial holding company controls companies that independently operate certain financial services.
- When a bank carries out mixed operation, it carries out independent management in personnel, capital and other aspects. There is a "firewall" between each other.

Separate operations in China

- In the early stage of reform and opening up, China's banking business was very simple, and there was no problem of separation and mixing of banks.
- After the reform and opening up, banking business increased, but its management was chaotic. The disorder of bank operation has strengthened the idea that only the separate operation can guarantee the healthy development of finance.
- **The Commercial Banking Law promulgated in 1995 has established China's current financial system of strict separation of commercial banks.**
- ✓ However, in 2000s, the large commercial banks have basically become financial holding groups, more or less holding securities, trust, fund, insurance, leasing and other financial licensed institutions, which have become a de facto mixed operation.

Commercial banks and financial markets

- The source and use of funds of modern commercial banks are very dependent on financial markets.
- Mixed operation is a development trend.
- In the future, commercial banks will participate in the financial market more deeply and more widely.

Key challenges for China's banking system

- 1. High Non-Performing Loan (NPL) Ratios:
 - Persistent levels of bad loans strain bank profitability and asset quality, particularly among regional and smaller banks.
- 2. State Ownership and Government Intervention:
 - Government influence on lending decisions, particularly to state-owned enterprises (SOEs), leads to inefficiencies and politically-driven credit allocation.
- 3. Shadow Banking Risks:
 - The rise of off-balance sheet activities and shadow banking products creates financial instability due to insufficient oversight and systemic risks.
- 4. Thin Capitalization in Smaller Banks:
 - Many smaller and underperforming banks suffer from low capital adequacy, making them vulnerable to economic downturns.
- 5. Technological Disruption and Fintech Competition:
 - Rapid advancements in fintech and digital platforms challenge traditional banks, pressuring them to modernize their services and infrastructure.

The Role of Shadow Banking in China

- In terms of overall size, data published by Moody's and the Bank for International Settlements suggests shadow banking accounted for 24% of total nonfinancial sector debt in China as of the third quarter of 2019 and was roughly equivalent to 60% of China's GDP, or around U.S. \$8.3 trillion.
- Beginning in late 2016, the central government started to curb risky shadow lending as part of a broader financial cleanup.

The Rise of Fintech and Disruption of Banking

- The rise of fintech (financial technology) has significantly disrupted traditional banking by offering more efficient, innovative, and customer-centric financial services.
 - Fintech companies are cutting out traditional banks as intermediaries for many financial activities. Peer-to-peer lending, mobile payments, and blockchain technologies reduce the reliance on banks for transactions and loans.
- This disruption has reshaped the financial landscape.

Future Outlook of Fintech and Banks

- Integration of Fintech and Traditional Banks:
 - Rather than replacing traditional banks, fintech and banks may continue to evolve into partnerships. Banks can adopt fintech innovations to enhance customer experiences while maintaining their core functions.
- Open Banking:
 - The concept of open banking, where banks allow third-party fintech services to access customers' financial data (with permission), is gaining traction. This can lead to more personalized and competitive financial products.
- AI and Further Automation:
 - As artificial intelligence and machine learning continue to evolve, we can expect further automation in financial services, from loan approvals to investment management.